# SMART MONEY CONCEPT SIMPLIFIED

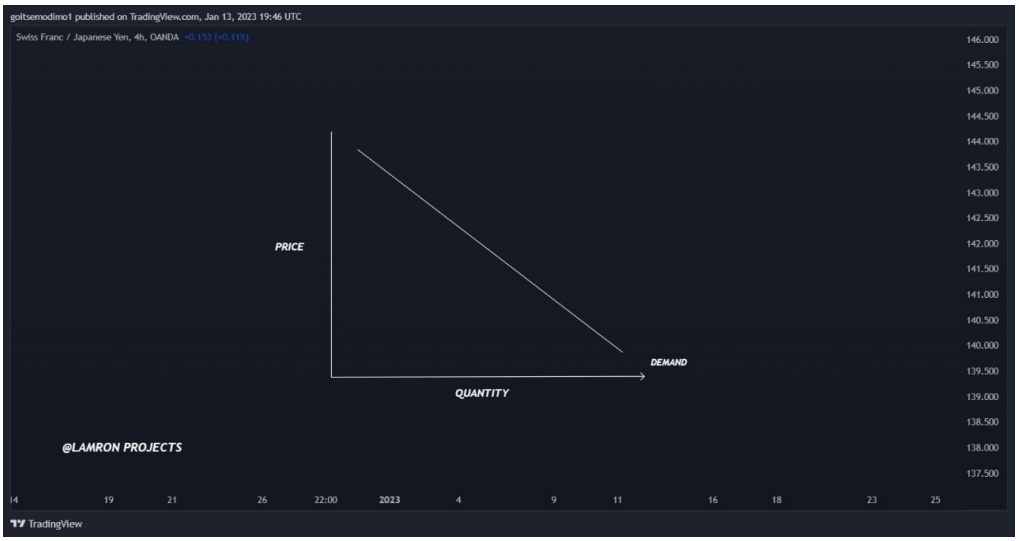
**By:Goitse-Modimo Odirile Mathibe**

## Chapter: DEMAND AND SUPPLY

*This Is One Of The Most Important Chapters*
*In SMC, Because If You Have A Clear Understanding, Behind The*
*Theory Of Demand And Supply Everything*
*Gonna Be Way Too Simple For You .*

**DEMAND.**

>When We Speak About The Term ***Demand*** We Refer To Buying Pressure.



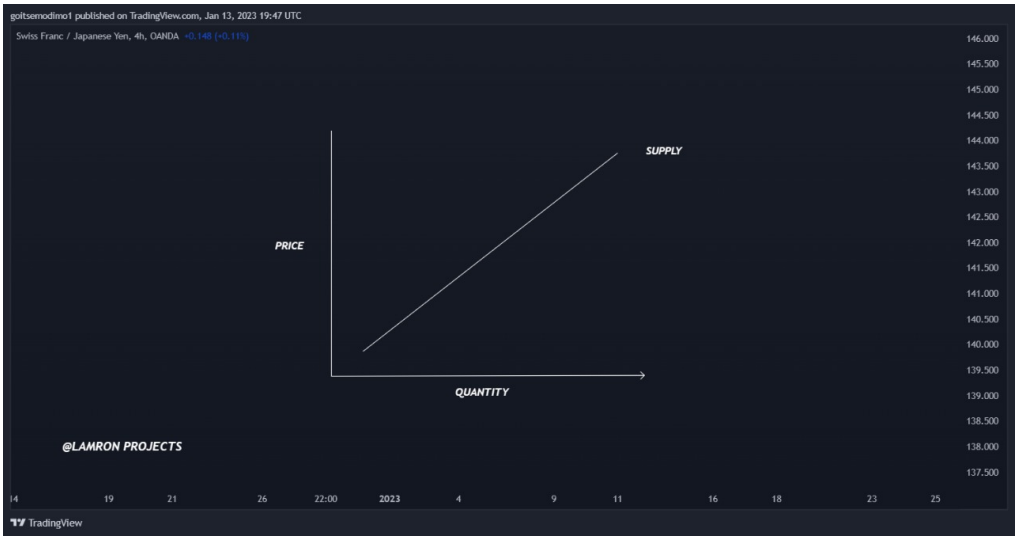
>I Know This Graph Confuses You , Surely Where You At You Asking Yourself That "***Why Did Goitse-Modimo Draw This Graph For?"***

>What I'm Trying To Embellish Is That …You Need To Understand That The Lower The Price Of A **Demand** ,The Higher The Quantity. Meaning That *Forexample :*

>If Something You Wanna Purchase It Is At Its Lowest Price ,Most People Around The World They Will Want To Purchase It .That's The Main Reason Why We Looking For Buying Opportunities At Our Demand Level.

**SUPPLY.**

>***Supply*** Refers To Selling Pressure.



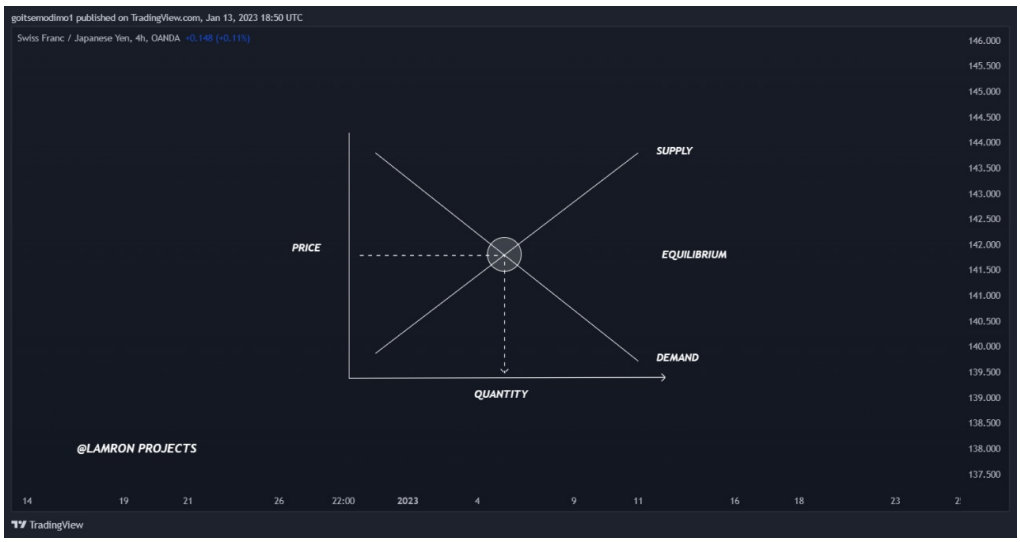

•This One It Is Nice But Tricky At The Sametime.

>What Happens It's That , The Higher The Supply …The Higher The Quantity Of The Manufacturers Will What To Do What ? To Produce That Thing Which Is Being Sold.

>*Forexample:* Let's Say You Wanna Buy A Pair Of Sneakers And Those Sneakers Cost 4000 In South African Rands . Each And Every Warehouse That Produces Those Sneakers, They Will Produce A Lot Of Sneakers Because They Know That They Gonna Make More Profit Out Of Those Sneakers…Why ?Because They're Expensive And Everyone Wants To Sell Something At The High Market Value.

**EQUILIBRIUM PRICE.**

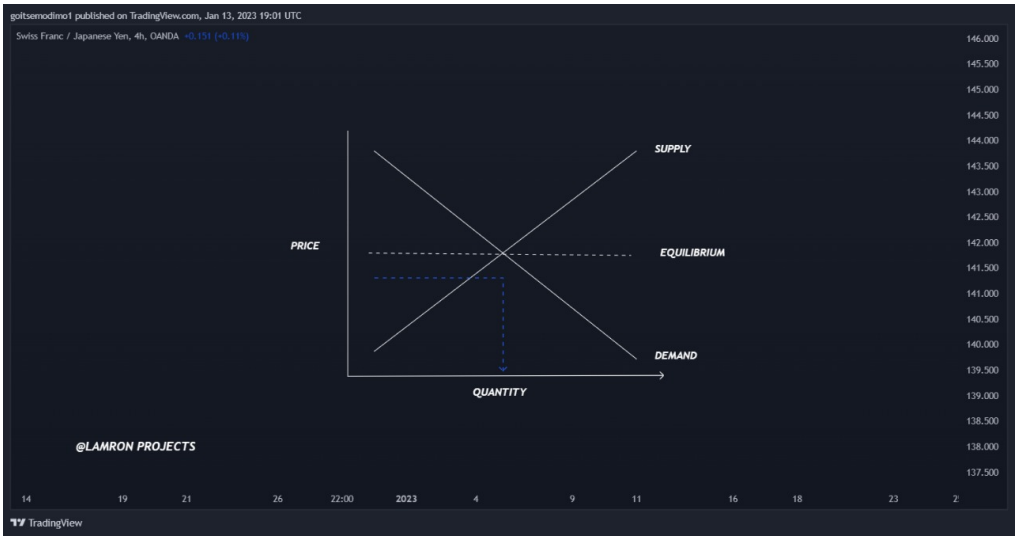
•***Equilibrium Price*** Occurs When Demand And Supply Are Equal.




>Equilibrium Is The Meeting Point Of Demand And Supply, Meaning That Your Demand Is Equivalent To Your Supply Level We Normally Call It A 50% Level .That's Where We Don't Take Any Trades.

**THEORY OF SHORTAGE AND SURPLUS.**

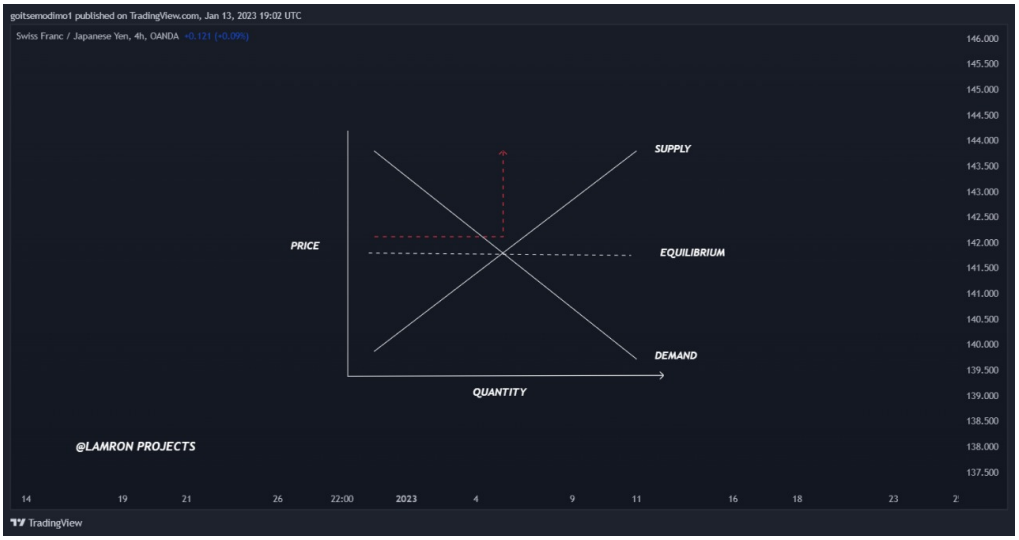
**SHORTAGE.**



>Technically With A Shortage What Happens Is That , When The Price Of The Demand Is Below The Equilibrium Phase Which Means We Are Going To Have Less Suppliers.

>It's Simple...Like I Said Everyone Is Willing To Purchase Something At A Lower Price, But Then In This Case The Suppliers Won't Produce That Thing Because Its Market Value Is Low So Which Means We Gonna Have Less Of The Products That We Need, That's Why We Call The Theory Behind This ***Shortage.***

**SURPLUS.**

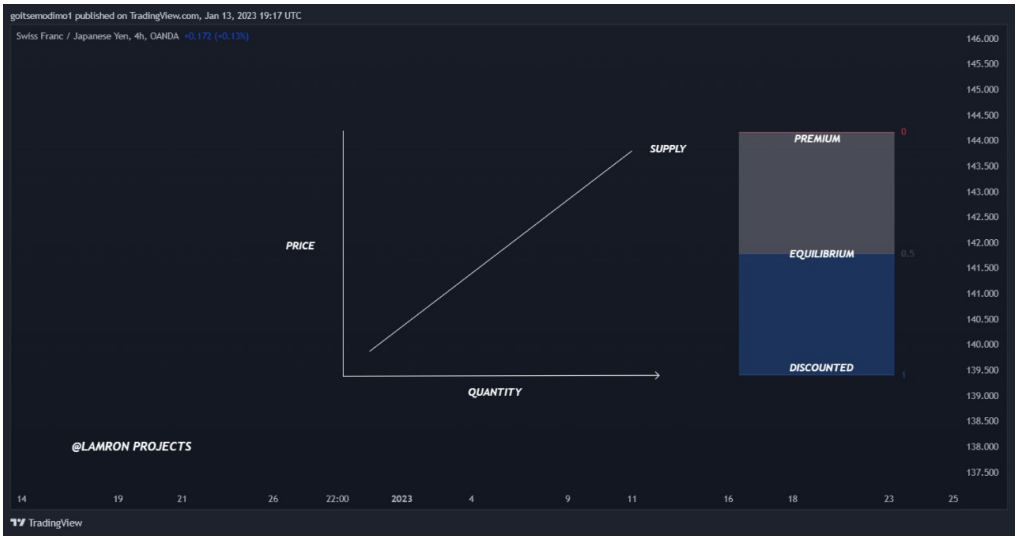



>***Surplus*** Occurs When We Have A High Supply ...Surplus Occurs When We Have A Lot Of Products But Lack Of Purchase On Those Products.

>Which Means We Have Low Demand  Not Everyone Is Demanding What Is Being Sold.

**<u>THEORY OF PREMIUM AND DISCOUNT .</u>**

**SUPPLY LEVEL.**

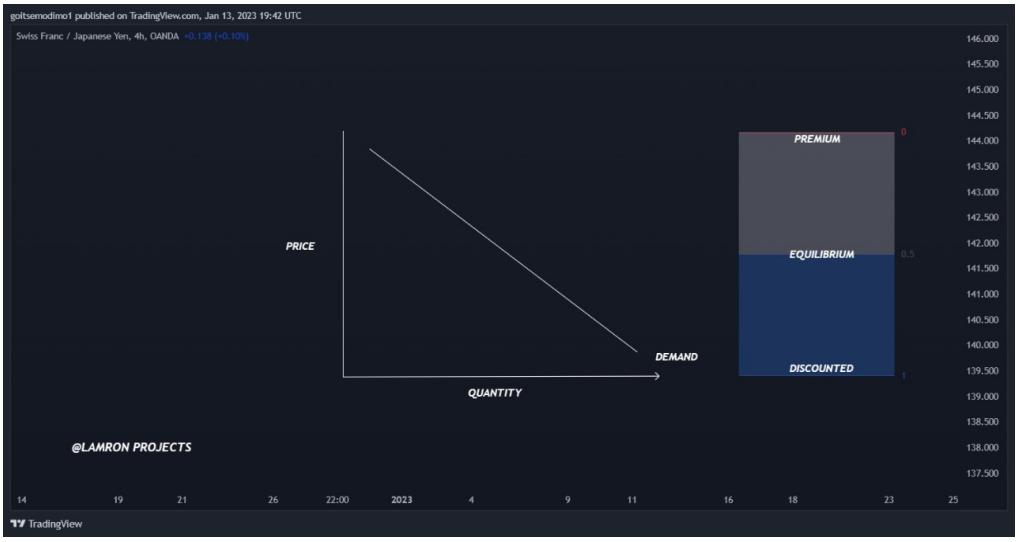


>This Is Simple Information That You Need To Know That Of Which Mentors They Don't Teach Their Students. </3

>Know That Okay ..Most Of The Time We As Day Traders We Tend To Sell At Premium Price And Buy At The Discounted Price.

***Why ?***
> Because When The Price Is Discounted That Simply Means That The Price Is Low.
>But When We Sell , We Sell At A Higher Value Of Which It Is At Our Premium Level.

**DEMAND LEVEL.**

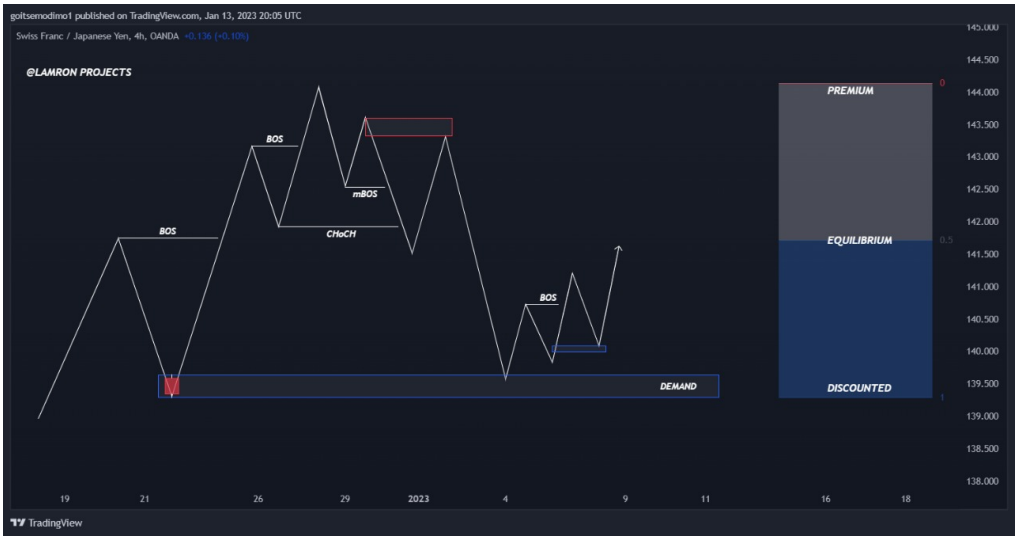



>On A Demand Level Where We Always Gonna Take Our Buys At .

>Because The Products Are Discounted Which Means Whenever We Have A Discount On Something, The More We Gonna Have The Quantity…It's More Like Buy One Get One Free Typa Situation.

**HOW TO TRADE PREMIUM AND DISCOUNT.**

**BULLISH TREND.**



•Some Are Gonna Ask Questions Like "***Goitse-Modimo How Do We Trade Premium Price On A Bullish Trend ? , Like How Do We Sell At The Top And Buy At The Bottom?***"

•What Happens Is That I Managed To Come With A Way.

•Looking At That Market Structure We Have The Properties Of A Bullish Trend Which Are Higher Highs And Higher Lows.

•We All Know That On An Uptrend Price Should Break Highs And Respect Lows. And When Price Breaks A High It Gives Us A Breakout Of Structure As Shown There , So Whenever Price Breaks A High It Goes To Our Premium Level Ant We Know That From Premium Level Price Should Come And Respect A Low .

**The Question Is Now, How Do We Trade Premium Price On A Bullish Trend?**

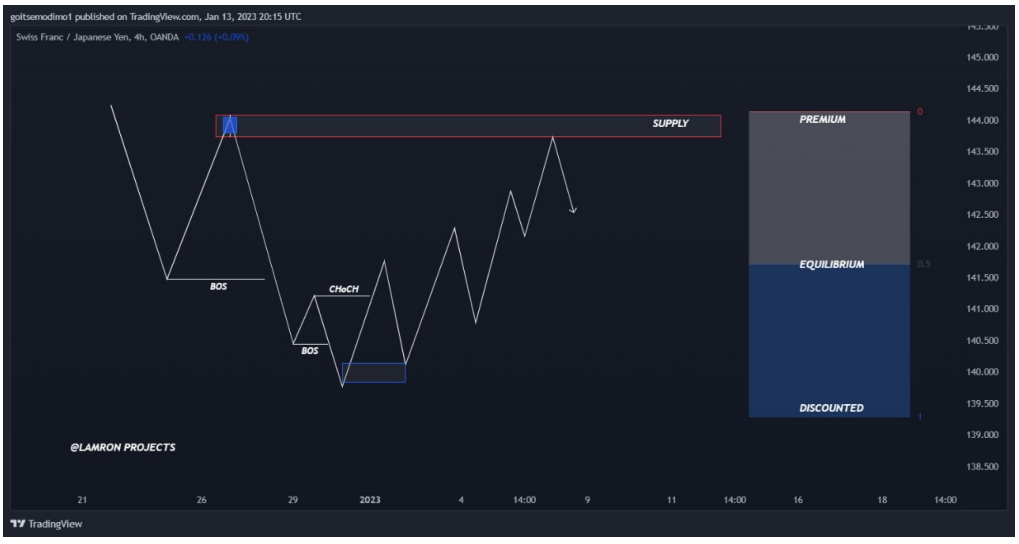
•The Only Time In Which You Can Be Able To Trade Premium Price On A Bullish Trend It Is When You Have A CHoCH [Change Of Market Character] A Switch From Trend To Trend.

•With That Change Of Market Character The Benefits Are That , Market Will Be Switching A Trend (From Up To Down) Meaning That Price Will Move From The Premium Level Passing Through The Equilibrium Level Heading To The Discounted Price.

•And Discount Price On A Bullish Trend It Is Our Demand Level Zone ,Where We Should Start Looking For The Buying Pressure.

•It's The Simple Information…Your Demand It's Always Going To Be Your Last Selling Candlestick The Market Left Before The Impulsive Movement When Market Is Pushing To The Upside As Shown On The Diagram.

**BEARISH TREND.**



•We All Know The Properties And The Rules Of A Bearish Trend , The Rules States That We Break Lower Lows And Respect Lower Highs.

•On A Bearish Trend What Happens Is That When Price Breaks A Lower Low And Gives Us A BOS [Breakout Of Structure] Price It Will Be On Our Discount Level.

•Whereas We Just Said On A Bearish Trend After Price Breaks A Low It Should Pullback To Go And Respect A Lower High.

•Now What Happens Is That After Price Breaks A Low ,That's When You Going To Look For A ***CHoCH .*** That CHoCH You Going To Get It Is Going To Help You To Move From Your Discounted Price Passing Through The Equilibrium Going To The Premium Price (*Where You Going To Start Looking For Your Selling Pressure).*

**Written By Founder Of Lamron Projects:**

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**Signature:**

